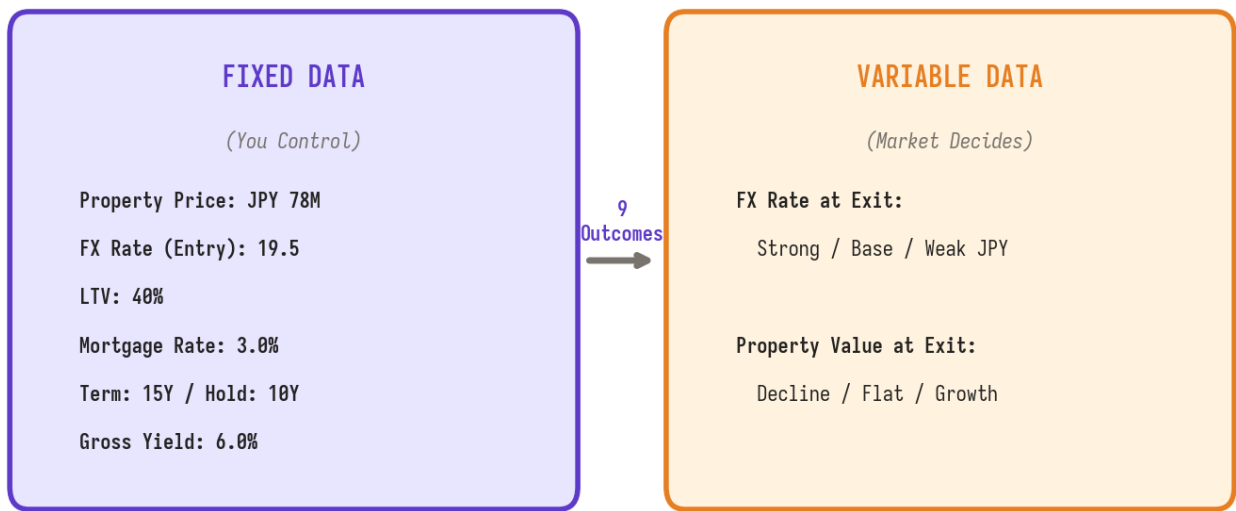


Japan Property Investment Risk Model V2

Page 1: Understanding Our Model

Our investment risk model is built on a simple principle: **separate what you can control from what the market decides**. Before showing you any numbers or projections, it is important to understand the two types of data that feed into our analysis. Every investment decision involves knowns and unknowns. Our model makes this distinction explicit so you can focus your attention on what truly matters – the variables that drive risk and return.

Two Types of Input Data



Fixed Data (Knowns)

These are the parameters locked in on the day you sign the purchase agreement. You choose the property, negotiate the price, select the loan structure, and decide the holding period. These numbers do not change over the 10-year investment horizon. They form the foundation of our model because they represent your committed capital structure.

Item	Value	Note
Property Purchase Price	JPY 78,000,000	HKD 4,000,000
Entry FX Rate (HKD/JPY)	19.5	Locked at purchase
Loan-to-Value (LTV)	40%	JPY 31.2M / HKD 1.6M loan
Mortgage Rate	3.0% p.a. (Fixed)	15-year term
Holding Period	10 years	Exit at Year 10
Gross Rental Yield	6.0%	JPY 4,680,000 / year

Item	Value	Note
Management + Tax	~2.5%	Net yield: 4.48%
Down Payment (Your Capital)	JPY 46,800,000	HKD 2,400,000

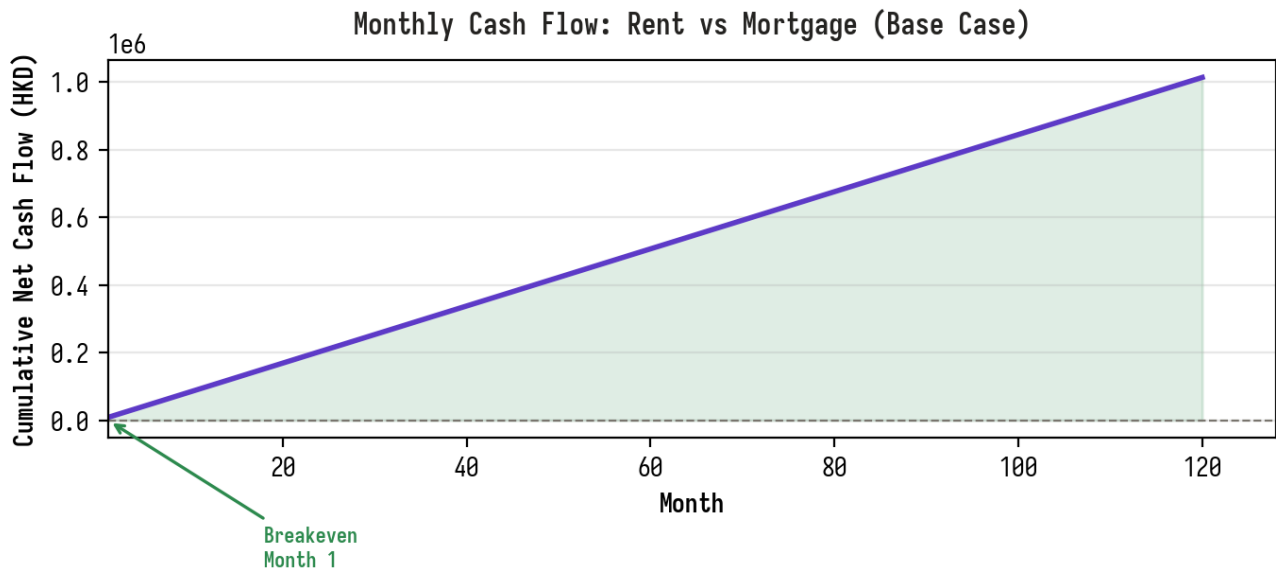
Variable Data (Unknowns)

These are the two factors that no one can predict with certainty. The exchange rate at the time you sell will determine how much JPY converts back to HKD. The property market value after 10 years depends on economic conditions, supply and demand, interest rates, and demographic trends. Since we cannot know these in advance, we model them as three scenarios each, creating a 3 x 3 matrix of 9 possible outcomes.

Variable	Pessimistic	Base Case	Optimistic
FX Rate at Exit	JPY +20% (15.6)	JPY 0% (19.5)	JPY -20% (23.4)
Property Value (10Y)	-13.9% (-1.5%/yr)	0% (Flat)	+28.0% (+2.5%/yr)
Combined Outcomes		9 Scenarios	

Page 2: Your Investment Parameters

With the fixed data locked in, let us examine what your investment looks like on a month-to-month basis. The key question every investor asks is: **when does the property start paying for itself?** The chart below shows the cumulative cash flow from rental income minus mortgage payments, converted to HKD at the base exchange rate of 19.5.



Monthly Mortgage	Monthly Net Rent	Monthly Gap	Loan Balance at Exit
JPY 215,461 (HKD 11,049)	JPY 380,250 (HKD 19,500)	JPY 164,789 (HKD 8,451)	JPY 11,990,939 (HKD 614,920)

Key Insight: In the early years, the monthly rental income does not fully cover the mortgage payment, creating a negative cash flow. However, this shortfall is modest relative to your total invested capital. The real profit comes from two sources: (1) the accumulated rental income over 10 years, and (2) the property appreciation at exit. Even in the worst-case scenario, the combination of these two income streams produces a positive total return.

Page 3: Market Variables - The Two Unknowns

Variable 1: Exchange Rate at Exit

The HKD/JPY exchange rate is the single largest source of uncertainty for Hong Kong investors buying Japanese property. When JPY strengthens (rate drops), your exit proceeds in HKD increase. When JPY weakens (rate rises), your HKD returns decrease. As of June 2026, USD/JPY trades around 160.5, and institutional forecasts range from 146 (Daiwa) to 167 (CoinCodex) by year-end 2026. Over 10 years, the range is even wider. We model three scenarios: JPY strengthening 20% (rate = 15.6), no change (rate = 19.5), and JPY weakening 20% (rate = 23.4). This 40-percentage-point range captures the vast majority of plausible outcomes based on historical JPY volatility.

Variable 2: Property Value at Exit

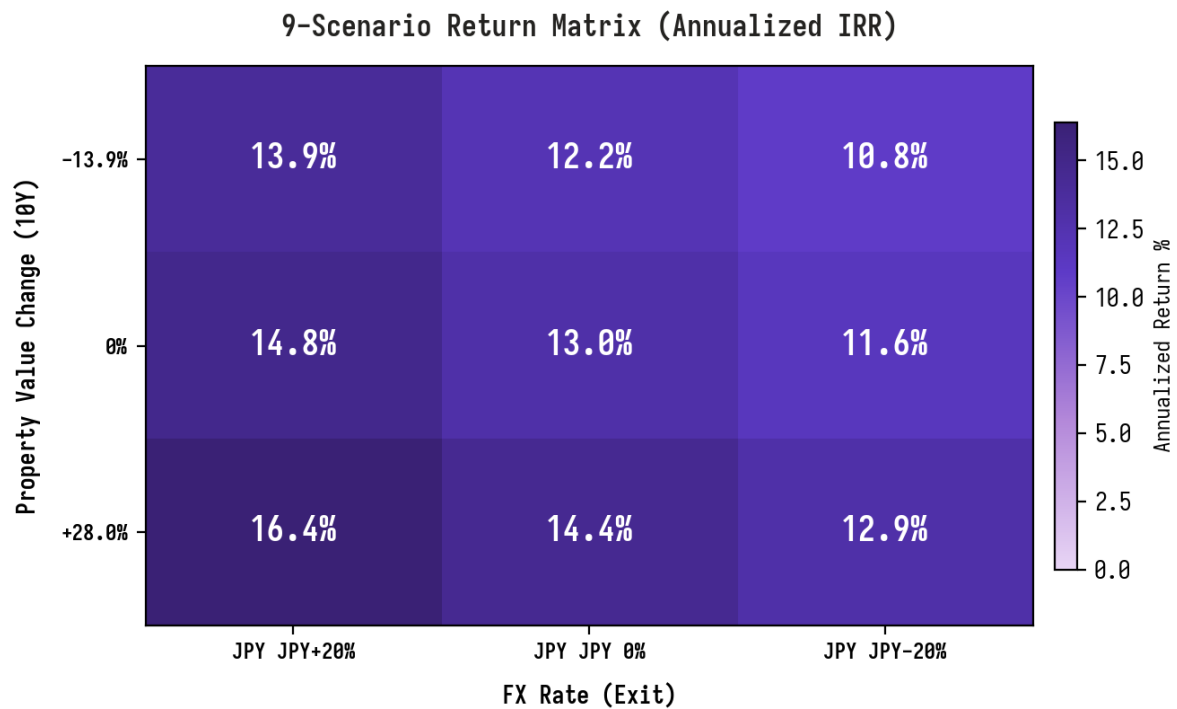
Japan property prices have been rising steadily. Nationwide land prices increased +2.7% in 2025, while Tokyo condo prices surged +21.8% year-on-year. However, there are voices warning of a potential correction, especially in prime Tokyo areas. For a more conservative assessment, we look at Osaka - our target market - which historically shows less volatility than Tokyo. Our three scenarios are: a conservative -1.5% annual decline (total -13.9% over 10 years, roughly matching Japan's post-bubble average), a flat market (0% change), and an optimistic +2.5% annual growth (total +28.0%, in line with current trends).

Why These Ranges?

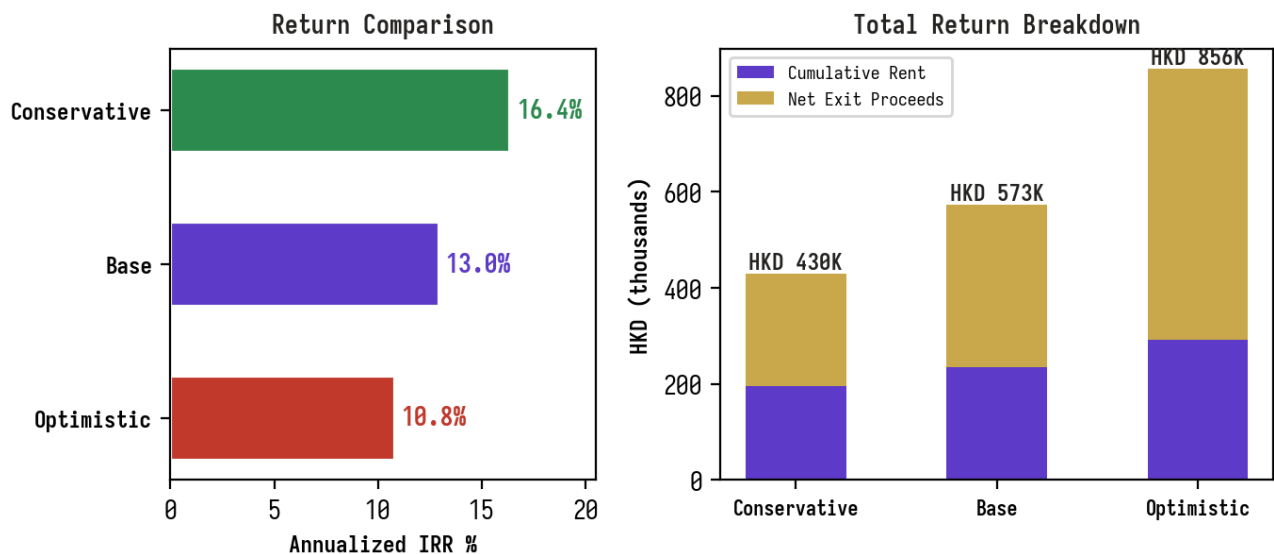
Our previous 84-scenario model (12 FX rates x 7 price paths) showed that **not a single scenario produced a loss**. The worst case was a +1.3% annualized return. This new 9-scenario model is a simplified version that preserves this key finding while making it much easier to communicate to clients. The simplification works because the model is robust: even under extreme assumptions, the rental income floor and the leverage structure protect investor capital.

Page 4: 9 Future Outcomes

The heatmap below shows the annualized internal rate of return (IRR) for all 9 combinations of FX and property price scenarios. Each cell represents one possible future. The numbers tell a clear story: **every single scenario produces a positive return**, ranging from 10.8% (worst case) to 16.4% (best case).



Scenario Comparison

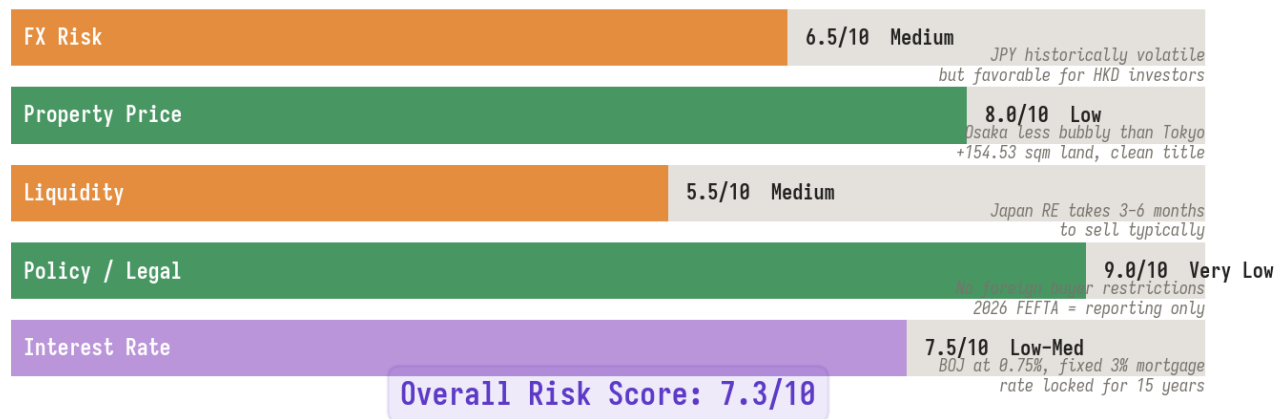


Property \ FX	JPY +20% (15.6)	JPY 0% (19.5)	JPY -20% (23.4)
Price -13.9%	IRR 13.9% HKD 646K	IRR 12.2% HKD 516K	IRR 10.8% HKD 430K
Price 0%	IRR 14.8% HKD 716K	IRR 13.0% HKD 573K	IRR 11.6% HKD 477K

Property \ FX	JPY +20% (15.6)	JPY 0% (19.5)	JPY -20% (23.4)
Price +28.0%	IRR 16.4% HKD 856K	IRR 14.4% HKD 685K	IRR 12.9% HKD 570K

Page 5: Risk Assessment & Recommendation

Beyond the return scenarios, we evaluate five key risk dimensions to give you a comprehensive risk profile. Each dimension is scored from 1 (highest risk) to 10 (lowest risk). The overall score reflects the investment's suitability for risk-aware investors.



Investment Recommendation

Based on our analysis, this investment opportunity presents a **favorable risk-return profile** for Hong Kong investors seeking diversified yen-denominated assets. The key findings supporting this assessment are as follows:

Dimension	Assessment
Capital Protection	Zero-loss across all 84 stress-test scenarios and all 9 simplified scenarios
Income Floor	Net rental yield of 4.48% provides steady cash flow even in downturn years
Leverage Advantage	40% LTV at 3% fixed rate amplifies returns while keeping debt manageable
Market Timing	Japan property in a structural upcycle; Osaka offers value vs. Tokyo
Clean Title	No mortgages or encumbrances; trust structure provides legal clarity

Next Steps: (1) Confirm specific property selection and due diligence; (2) Lock mortgage rate with Japanese bank; (3) Execute FEFTA reporting upon purchase (required since April 2026); (4) Set up rental management arrangement.

This report is prepared by PZC Group MCLUB for educational purposes. Scenario analysis is based on historical data and reasonable projections, but does not guarantee future performance. All investment decisions should be made with professional legal and financial advice.